

23CV05709 Hollister Ranch Owners' Association et al vs California Coastal Commission et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-09-18

Motion: Demurrer

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Case Number

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Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 09/18/2026 - 10:00

Nature of Proceedings

Demurrer

Tentative Ruling

For the reasons set forth herein, the demurrer of defendants State Coastal Conservancy and California Coastal Commission to the complaint is sustained, with leave to amend, as to the complaint as a whole and as to each cause of action therein. Plaintiffs shall file and serve their first amended complaint on or before October 5, 2026.

Background:

As alleged in plaintiffs' complaint:

Plaintiffs Tim Behunin, as trustee of the Behunin Family Trust, Patrick L. Connelly, and Linda Taylor Ullman and David Ullman, as trustees of the D&L Ullman Revocable Trust Dated 4/27/90, individually and on behalf of all others similarly

situated (collectively, Owner Plaintiffs), and plaintiffs Hollister Ranch Owners' Association (HROA) and Hollister Ranch Cooperative (HRC) (all, collectively, plaintiffs) are owners of property rights within the area known as Hollister Ranch. (Complaint, ¶¶ 8-12.) Plaintiffs have been engaged in other litigation, Pappas v. State Coastal Conservancy, Santa Barbara County Superior Court case No. 1417388 (Pappas Action), with defendants California Coastal Commission (Commission) and State Coastal Conservancy (Conservancy) (both, collectively, defendants). (Complaint, ¶¶ 13-15.) The Pappas Action involves disputes over public access rights within Hollister Ranch. (Complaint, ¶¶ 15-16.)

On December 8, 2017, HROA and defendants reached a settlement resolving all claims arising out of the Pappas Action (the HROA Settlement). (Complaint, ¶ 17 & exhibit 1 [the HROA Settlement].) Pursuant to the HROA Settlement, defendants consented to entry of judgment, and disavowed and disclaimed any right, title or interest whatsoever in or to any easements for public access or public recreation in plaintiffs' property subject to the dispute in the Pappas Action. (Ibid.)

The HROA Settlement includes the following provisions:

"Plaintiff [HROA] ... and [defendants] enter into this stipulation and agreement of settlement This Agreement is intended by the Stipulating Parties hereto to fully, finally, completely, and unconditionally compromise, resolve and settle the above-captioned lawsuit and the Released Claims (defined below) as between the Stipulating Parties, subject to the terms and conditions set forth below and final approval by Court." (HROA Settlement, pp. 1-2.)

" 'Stipulating Parties' means the parties to this Agreement: Plaintiff HROA and Defendants." (HROA Settlement, § 1.18.)

" 'Effective Date' means the date on which the Court enters the Stipulated Judgment attached as Exhibit 1." (HROA Settlement, § 1.8.)

"Each of the Stipulating Parties separately represents and warrants that it has the requisite power and authority to enter into this Agreement and to perform the obligations imposed on it by this Agreement." (HROA Settlement, § 5.1.)

"Each of the Stipulating Parties separately represents and warrants that the execution and delivery of, and the performance of the obligations contemplated by this Agreement has been approved by duly authorized representatives of the Party." (HROA Settlement, § 5.2.)

"If any material provision hereof is deemed unenforceable by a court of competent jurisdiction, then the Agreement as a whole shall be deemed terminated and null and void by written notice, and the rights and obligations of the Stipulating Parties shall be the same as if the Agreement were terminated and became null and void by written notice." (HROA Settlement, § 6.1.)

"Each Stipulating Party agrees to take such steps and to execute any documents as may be reasonably necessary or proper to effectuate the purpose and intent of this Agreement and to preserve its validity and enforceability. In the event that any action or proceeding of any type whatsoever is commenced or prosecuted by any person or entity not a Stipulating Party hereto to invalidate, interpret, or prevent the validity, enforcement, or carrying out of all or any of the provisions of this Agreement, the Stipulating Parties mutually agree, represent, warrant, and covenant to cooperate fully in opposing such action or proceeding." (HROA Settlement, § 8.1.)

"No breach of any provision hereof can be waived by any Stipulating Party unless in

writing. The waiver by one Stipulating Party of any breach of this Agreement by any other Stipulating Party shall not be deemed a waiver of any other prior or subsequent breach of this Agreement." (HROA Settlement, § 8.6.)

In November 2017, defendants did not hold a noticed public hearing and did not make any of the findings required by Public Resources Code section 30609.5. (Complaint, ¶ 20.)

On March 9, 2018, HRC and the Owner Plaintiffs entered into a separate settlement (Class Settlement). (Complaint, ¶ 21 & exhibit 2 [the Class Settlement].) The Class Settlement and the HROA Settlement constituted a global settlement resolving all claims of all parties to the Pappas Action. (Complaint, ¶ 22.)

The Class Settlement includes the following provisions:

"[Owner Plaintiffs and HRC] and [defendants] enter into this Conditional Stipulated Settlement Agreement This Agreement, which is dependent on the existence of various conditions, is intended by the Stipulating Parties hereto to fully, finally, completely, and unconditionally compromise, resolve, and settle the above captioned lawsuit and the Released Claims (defined below) as between the Settling Plaintiffs, the Class (defined below) and the Defendants, subject to the terms and conditions set forth below and final approval by the Court." (Class Settlement, pp. 1-2.)

" 'Effective Date' means the date on which all the following have occurred: (i) the Preliminary Approval Order (as defined below) has been entered; (ii) and the Final Approval Order and Judgment have become Final." (Class Settlement, § 1.10.)

"Each of the Stipulating Parties separately represents and warrants that it has the requisite power and authority to enter into this Agreement and to perform the obligations imposed on it by this Agreement." (Class Settlement, § 8.1.)

"Each of the Stipulating Parties separately represents and warrants that the execution and delivery of, and the performance of the obligations contemplated by this Agreement, has been approved by duly authorized representatives of the Party." (Class Settlement, § 8.2.)

"If any material provision hereof is deemed unenforceable by a court of competent jurisdiction, then the Agreement as a whole shall be deemed terminated and null and void by written notice, and the rights and obligations of the Stipulating Parties shall be the same as if the Agreement were terminated and became null and void by written notice." (Class Settlement, § 9.1.)

"Each Stipulating Party agrees to take such steps and to execute any documents as

may be reasonably necessary or proper to effectuate the purpose and intent of this Agreement and to preserve its validity and enforceability. In the event that any action or proceeding of any type whatsoever is commenced or prosecuted by any person or entity not a Stipulating Party hereto to invalidate, interpret, or prevent the validity, enforcement, or carrying out of all or any of the provisions of this Agreement, the Stipulating Parties mutually agree, represent, warrant, and covenant to cooperate fully in opposing such action or proceeding." (Class Settlement, § 11.1.)

"No breach of any provision hereof can be waived by any Stipulating Party unless in

writing. The waiver by one Stipulating Party of any breach of this Agreement by any other Stipulating Party shall not be deemed a waiver of any other prior or subsequent breach of this Agreement." (Class Settlement, § 11.6.)

Following execution of the Class Settlement, plaintiffs moved for preliminary approval of the Class Settlement. (Complaint, ¶ 25.) On June 13, 2018, the Pappas Action court granted preliminary approval and conditional certification of the class and set a final fairness hearing for September 10, 2018, requiring notice to the public. (Ibid.)

On July 13, 2018, the Commission held an informational briefing addressing the HROA Settlement and Class Settlement. (Complaint, ¶ 26.) No vote or action was taken at that meeting, and no findings were made as required by Public Resources Code section 30609.5. (Ibid.) Shortly thereafter, the Gaviota Coastal Trail Alliance (GCTA) moved to intervene in the Pappas Action. (Complaint, ¶ 27.) Defendants did not oppose GCTA's motion for intervention and GCTA was granted intervention by order dated August 27, 2018. (Ibid.)

GCTA ultimately filed a cross-complaint and petition for writ of mandate in the Pappas Action, asserting that defendants violated Public Resources Code section 30609.5 by failing to hold a noticed public hearing and failing to make required findings before quitclaiming the interests at issue in that action. (Complaint, ¶ 28.)

On December 10, 2019, the Pappas Action trial court found in favor of GCTA on its writ petition, concluding that the HROA Settlement constituted a transfer of land within the meaning of Public Resources Code section 30609.5 and that defendants had failed to conduct a public hearing or make the findings required by section 30609.5. (Complaint, ¶ 29.) The Conservancy was ordered to vacate its closed-session approval of the HROA Settlement and deemed not to have approved the HROA Settlement without further action by the Conservancy. (Ibid.) The Pappas Action trial court expressed no opinion and made no order as to the manner by which the Conservancy should or must proceed with respect the approval, or not, of the settlement. (Ibid.)

On February 7, 2020, plaintiffs appealed the Pappas Action trial court ruling, and GCTA cross-appealed. (Complaint, ¶ 30.) Defendants did not appeal the ruling, but ultimately opposed GCTA's cross-appeal. (Ibid.) The Court of Appeal determined: "The trial court correctly invalidated the State Defendants' settlement agreements with Hollister based on the Conservancy's violation of section 30609.5 of the Coastal Act. Judgment against the Conservancy is affirmed in that respect. Judgment in favor of the Commission, however, is reversed because the record confirms it too violated section 30609.5. The trial court shall enter judgment against both State Defendants on remand." (Pappas v. State Coastal Conservancy (2021) 73 Cal.App.5th 310, 326 (Pappas); Complaint, ¶¶ 30-31.) The Pappas court also noted: "Like the trial court, we express 'no opinion and make[] no order as to the manner by which the Conservancy should or must proceed with respect to approval, or not, of the HROA Settlement.' Our ruling does not preclude Hollister and the State Defendants from attempting to align the settlement agreements' terms and conditions with section 30609.5's provisions, or, in the alternative, to jettison the agreements and litigate Hollister's quiet title action." (Pappas, at p. 322.) The decision of the Court of Appeal in Pappas became final on January 27, 2022. (Complaint, ¶ 32.)

On April 19, 2022, counsel for plaintiffs inquired by email whether defendants intended to hold a public hearing on the settlements. (Complaint, ¶ 33.) Counsel for defendants responded that the matter would be discussed in closed session in May 2022. (Ibid.) No formal response was received. (Ibid.) Neither defendant has held a public hearing to consider approving the settlements or making the findings required by Public Resources Code section 30609.5. (Ibid.) The defendants are believed to have disavowed and abandoned the settlements. (Ibid.)

On August 4, 2022, plaintiffs mailed a completed Government Claim form to the Office of Risk and Insurance Management. (Complaint, ¶ 34.) No formal response has been received. (Ibid.)

On December 27, 2023, plaintiffs filed their complaint in this action asserting four causes of action: (1) breach of contract (HROA against defendants); (2) breach of implied covenant of good faith and fair dealing (HROA against defendants); (3) breach of contract (HRC and Owner Plaintiffs against defendants); and (4) breach of implied covenant of good faith and fair dealing (HRC and Owner Plaintiffs against defendants).

The parties stipulated, and the court entered its order, staying this action until April 4, 2024. (Order, filed Feb. 14, 2024.) The stay was extended pursuant to multiple stipulations and orders until March 10, 2026. (Order, filed Jan. 16, 2026.)

On May 8, 2026, defendants filed this demurrer. Defendants argue that the settlements are unenforceable and that plaintiffs' complaint is time-barred. Plaintiffs oppose the demurrer.

Analysis:

"We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. [Citation.] We also consider matters which may be judicially noticed. [Citation.]. Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation.]" (Evans v. City of Berkeley (2006) 38 Cal.4th 1, 6, internal quotation marks omitted.)

(1) Requests for Judicial Notice

In support of their demurrer, defendants request that the court take judicial notice of: (Request for Judicial Notice, exhibit 1) the Pappas Action trial court's order after hearing, filed December 10, 2019; (exhibit 2) the Court of Appeal decision in Pappas; (exhibit 3) the Court of Appeal Order Modifying Opinion and Denying Rehearing in Pappas; (exhibit 4) certified records concerning claim No. GCP-22095900; (exhibits 5 and 6) the notices of appeal filed by plaintiffs in the Pappas Action. The unopposed requests for judicial notice are granted. (See Evid. Code, § 452, subds. (c), (d)(1), (h).) Judicial notice does not extend to the truth of facts set forth in judicially noticed documents. (Steed v. Department of Consumer Affairs (2012) 204 Cal.App.4th 112, 120; Poseidon Development, Inc. v. Woodland Lane Estates, LLC (2007) 152 Cal.App.4th 1106, 1117.)

(2) Breach of Contract

Plaintiffs' first and third causes of action are for breach of contract.

"A cause of action for breach of contract requires pleading of a contract, plaintiff's performance or excuse for failure to perform, defendant's breach and damage to plaintiff resulting therefrom." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.) "A settlement agreement is governed by the same rules applicable to other contracts." (Property California SCJLW One Corp. v. Leamy (2018) 25 Cal.App.5th 1155, 1162.)

The contracts asserted to be breached are the HROA Settlement and the Class Settlement (collectively, the Settlements). (Complaint, ¶¶ 36, 51.) The alleged breaches are of corresponding express terms of each of the Settlements. (Complaint, ¶¶ 37-38, 40-41, 52-53, 55-56.) Because the same issues are presented with respect to each of the Settlements, the following discussion will address the HROA Settlement specifically, but with the understanding that the analysis applies equally to the Class Settlement unless otherwise stated.

Defendants first argue that the Pappas Action court, as affirmed and directed by the Court of Appeal in Pappas, invalidated the HROA Settlement, rendering it void. Alternatively, the provisions of the HROA Settlement themselves render the agreement void and unenforceable. Because the contract is void, no cause of action for breach of that contract is stated. Plaintiffs do not dispute that the Pappas Action determined that the HROA Settlement violated Public Resources Code section 30609.5 and are not effective to that extent, but argue that the remaining provisions, specifically, the warranty of authority and the obligation to take steps to preserve the enforceability of the agreement are severable and thus separately enforceable.

Defendants' argument is based upon the lack of effective assent to the contract, citing particularly Midway Orchards v. County of Butte (1990) 220 Cal.App.3d 765 (Midway) and Sceper v. County of Trinity (2025) 113 Cal.App.5th 548 (Sceper). In Midway, the plaintiff contended it had vested development rights as a consequence of a development agreement with the defendant county. (Midway, supra, at p. 773.) At the time the development agreement was entered into, the development agreement was not consistent with the then-effective general plan. (Ibid.) The general plan in effect at that time had been amended to be consistent with the development agreement but the amended general plan was subject to a referendum and never took effect. (Id. at pp. 773, 782.) "Consequently, [the] development agreement was never consistent with the general plan as required by Government Code section 65867.5 and the [County Board of Supervisors] was without legal authority to approve the agreement." (Id. at p. 783.) "The development agreement was therefore unlawfully approved and executed. A contract entered into by a local government without legal authority is 'wholly void,' ultra vires, and unenforceable. [Citations.] Such a 'contract' can create no vested rights. Therefore, [the developer] can claim no right to develop its property based on a

development agreement void from the beginning.” (Ibid.)

In *Sceper*, supra, 113 Cal.App.5th 548, the plaintiff filed a lawsuit against the Trinity County Board of Supervisors seeking to transfer the base year value of property he purchased in San Diego County in 1974 to a property he bought in Trinity County in 2001. (Id. at p. 550.) The parties settled the litigation by entering into a settlement agreement which would allow such a transfer upon a qualifying change in the law. (Ibid.) After the adoption of Proposition 19 in 2020, the plaintiff sought the transfer based upon Proposition 19 being a qualifying change in the law under the agreement. (Ibid.) The county refused the transfer. (Ibid.) The plaintiff again sued; the trial court ordered specific performance of the agreement and awarded damages to the plaintiff. (Id. at pp. 550-551.)

On appeal in *Sceper*, the Court of Appeal determined that the Trinity County Board of Supervisors did not have authority to enter the agreement because the Board of Supervisors was not sitting as the Board of Equalization in approving the settlement agreement. (*Sceper*, supra, 113 Cal.App.5th at p. 555.) Because the board lacked authority to enter the agreement, the settlement agreement was “void and unenforceable. And because the agreement is void, it could not form the basis for a breach of contract claim.” (Id. at p. 556.)

Defendants argue that the HROA Settlement, like the agreements in *Midway* and *Sceper*, is void because of the determination that defendants did not have authority to enter into the agreement without compliance with Public Resources Code section 30609.5. As a void agreement, the HROA Settlement cannot support a claim for breach of contract.

Plaintiffs argue that the provisions of the HROA Settlement disclaiming the disputed rights to public access easements, on the one hand, and the provisions warranting authority and promising assistance in effectuating the settlement, on the other hand, are severable so that plaintiffs may enforce the latter provisions even if the former are unenforceable. In support of this argument, plaintiffs cite Civil Code section 1599, *Marathon Entertainment, Inc. v. Blasi* (2008) 42 Cal.4th 974 (*Marathon*), and *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478 (*Ramirez*).

“Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest.” (Civ. Code, § 1599.)

In *Marathon*, an actor entered into an oral contract with a personal manager. (*Marathon*, supra, 42 Cal.4th at p. 981.) The manager sued the actor for breach of contract after the actor terminated the contract and hired her agent to replace the manager. (Ibid.) The actor obtained a stay of the action and petitioned the Labor Commission, alleging that the manager had violated the Talent Agencies Act (Lab. Code, § 1700 et seq.). (Ibid.) The Labor Commissioner agreed and voided the parties’ contract. (Ibid.) The manager appealed the Labor Commissioner’s ruling to the superior court, which invalidated the contract as illegal. (Id. at p. 982.) The Court of Appeal reversed in part, concluding that the possibility existed to sever the commission obligations of the contract from unlawful parts of the contract. (Ibid.)

On review in the California Supreme Court, the *Marathon* court harmonized Civil Code section 1599 with the Talent Agencies Act which prohibited certain activities without a talent agency license. (*Marathon*, supra, 42 Cal.4th at p. 991.) “In deciding whether severance is available, we have explained ‘[t]he overarching inquiry is whether “ ‘the interests of justice ... would be furthered’ ” by severance.’ [Citation.] ‘Courts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.’ [Citations.]” (Id. at p. 996.) “The doctrine is equitable and fact specific, and its application is appropriately directed to the sound discretion of the Labor Commissioner and trial courts in the first instance.” (Id. at p. 998.) Applying this standard, the *Marathon* court remanded the matter for further proceedings. (Id. at p. 999.)

In *Ramirez*, supra, 16 Cal.5th 478, the defendant was sued by a former employee and unsuccessfully moved to compel arbitration. (Id. at p. 489.) The trial court and the Court of Appeal concluded that the arbitration agreement contained unconscionable provisions and declined to enforce those provisions. (Ibid.) The remaining issue was whether the agreement’s unconscionable elements—lack of mutuality in covered and excluded claims, shortened limitations periods for

filing, and potential for unlawful attorney fee awards—were severable from the arbitration agreement so as to allow enforcement of the arbitration agreement absent the unconscionable terms. (Id. at pp. 500, 503, 512-514.) The court noted:

“We concluded that the ‘basic principles of severability that emerge’ from the statutes and case law regarding ‘illegal contracts appear fully applicable to the doctrine of unconscionability.’ [Citation.] We explained: ‘Courts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.’ [Citation.]” (Ramirez, *supra*, 16 Cal.5th at p. 515.)

The Ramirez court stated:

“[W]e clarify that no bright line rule requires a court to refuse enforcement if a contract has more than one unconscionable term. Likewise, a court is not required to sever or restrict an unconscionable term if an agreement has only a single such term. Instead, the appropriate inquiry is qualitative and accounts for each factor [Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83] identified. At the outset, a court should ask whether ‘the central purpose of the contract is tainted with illegality.’ [Citation.] If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract’s unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary.” (Ramirez, *supra*, 16 Cal.5th at p. 516.)

“Even if a contract can be cured, the court should also ask whether the unconscionability should be cured through severance or restriction because the interests of justice would be furthered by such actions. [Citation.] This part of the inquiry focuses on whether mere severance of the unconscionable terms would function to condone an illegal scheme and whether the defects in the agreement indicate that the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party’s advantage. [Citation.] If the answer to either question is yes, the court should refuse to enforce the agreement.” (Ramirez, *supra*, 16 Cal.5th at pp. 516–517.)

“In conducting this analysis, the court may also consider the deterrent effect of each option. ... Although there are no bright-line numerical rules regarding severance, it is fair to say that the greater the number of unconscionable provisions a contract contains the less likely it is that severance will be the appropriate remedy.” (Ramirez, *supra*, 16 Cal.5th at p. 517.) “Finally, if the contract contains a severance clause, the court should take it into account as an expression of the parties’ intent that an agreement curable by removing defective terms should otherwise be enforced.” (Ibid.)

Plaintiffs argue that, following Marathon and Ramirez, the court should engage in an analysis of whether severance is appropriate and conclude that the warranty of authority provision and promise of assistance should be enforceable as severable terms.

The most authoritative answer to this dispute is also the most direct. In Pappas, the Court of Appeal determined that the Settlements were correctly “invalidated” as to the Conservancy, and that same analysis and result was also required to be applied as to the Commission on remand. (Pappas, *supra*, 73 Cal.App.5th at p. 326.) The determination of invalidity thus necessarily returned the HROA Settlement to its condition before approval by either defendant, so that either defendant could either approve the settlement by complying with the requirements of Public Resources Code section 30609.5 or “jettison the agreements and litigate Hollister’s quiet title action.” (Id. at p. 322.) This strongly indicates that the HROA Settlement is not now an enforceable agreement because there is now no effective assent to the HROA Settlement by either defendant. Without effective assent, there is no enforceable contract. (See San Luis Obispo Local Agency Formation Commission v. Central Coast Development Company (2022) 78 Cal.App.5th 363, 365 [“A contract by a public agency that exceeds the agency’s statutory powers is void”].)

Plaintiffs’ arguments to the contrary are not persuasive. In Marathon, the contract included services subject to the Talent Agency Act (requiring a license) and services not subject to the Talent Agency Act (not otherwise requiring a license). The inclusion of services not requiring a license made it possible—and hence subject to further proceedings on remand—for the

lawful services to be the subject of a breach of contract action. In Ramirez, some of the particulars of the arbitration agreement were found to be unconscionable and the issue was whether arbitration could be required without those unconscionable provisions. In both cases, the court found that a principal object of the contract could potentially be maintained after severing the unlawful parts of the respective contracts.

Here, on its face, the HROA Settlement involves one subject: the settlement of the Pappas Action in which the State gave up its claim to disputed easement rights and received in exchange a license agreement providing access pursuant to various terms. The HROA Settlement was invalidated because it purported to transfer an interest in state land beyond the defendants' authority to transfer property interests under Public Resources Code section 30609.5. The transferred interest, expressed as a disclaimer and quitclaim, is a principal term of the HROA Settlement and, on its face, the principal consideration given by the State. (HROA Settlement, § 3.1.)

If plaintiffs' argument is followed, the court would sever from the HROA Settlement the State's obligation to disclaim the property interest and to release its claims asserted in the Pappas Action. According to plaintiffs, the warranty of authority and the promise of assistance would be left enforceable. Both of these obligations, however, are simply to provide effective assent to the agreement as a whole (the warranty of authority) and to implement the settlement (the promise of assistance). Neither of these obligations can meaningfully exist apart from the core settlement terms. In severance terms, the basis for the invalidity of the HROA Settlement, i.e., the failure to conduct a public hearing and make required findings under Public Resources Code section 30609.5, affects the defendants' assent to the HROA Settlement as a whole. The terms plaintiffs seek to enforce are not collateral to the purpose of the HROA Settlement.

Ramirez states that a court should consider a severance clause as a factor because it is an expression of the parties' intent. (Ramirez, supra, 16 Cal.5th at p. 517.) In Ramirez, the severance clause stated that if any portion was determined to be unenforceable, the remainder of the agreement would be unaffected and enforceable to the fullest extent permissible. (Id. at p. 514.) Here, the severance clause reverses that presumption as a matter of agreement. "If any material provision hereof is deemed unenforceable by a court of competent jurisdiction, then the Agreement as a whole shall be deemed terminated and null and void by written notice" (HROA Settlement, § 6.1.) So, to the extent that the terms of the agreement are considered for purposes of determining whether the terms plaintiffs seek to enforce are collateral to the unenforceable provisions, the HROA Settlement is clear that such terms are not collateral and not to be enforced under the present circumstances.

The determination that the HROA Settlement is not an enforceable agreement in any of its terms is also consistent with constitutional principles relating to government claims: "The Legislature has no power ... to authorize the payment of a claim against the State or a city, county, or other public body under an agreement made without authority of law." (Cal. Const., art. IV, § 17.) Pappas held that the HROA Settlement was an agreement made without authority of law. Permitting a claim to proceed based upon breach of that contract would conflict with this constitutional principle. Indeed, plaintiffs' claim of breach includes the specific claim that defendants made the HROA Settlement without authority to do so notwithstanding a representation of authority in the HROA Settlement itself. (Complaint, ¶ 40 ["At the time of entering into the HROA Settlement, and at all material times thereafter, Defendants did not have the authority to enter into the HROA Settlement"].)

Accordingly, the HROA Settlement is not alleged as an enforceable contract to support a cause of action for breach of contract. As noted above, the same analysis applies to the Class Settlement. The demurrer to the first and third causes of action will be sustained.

Because of this resolution, it is unnecessary to address whether, as argued by defendants, the claims are also time-barred.

(3) Breach of the Covenant of Good Faith and Fair Dealing

Plaintiffs' second and fourth causes of action are for breach of the covenant of good faith and fair dealing. "Breach of the covenant of good faith and fair dealing is nothing more than a cause of action for breach of contract." (Habitat Trust for Wildlife, Inc. v. City of Rancho Cucamonga (2009) 175 Cal.App.4th 1306, 1344.) Thus, "[t]he prerequisite for any action for breach of the implied covenant of good faith and fair dealing is the existence of a contractual relationship between the

parties, since the covenant is an implied term in the contract.” (Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 48-49.)

Because the court determines that there is no enforceable contract to support the claims for breach of contract, as discussed above, there is no enforceable contract to support claims for breach of the implied covenant of good faith and fair dealing.

The demurrers to the second and fourth causes of action will be sustained.

(4) Leave to Amend

In opposition to the motion, defendants request leave to amend. Additionally, defendants argue that they have stated a cause of action for quantum meruit or quasi-contract. Based upon the foregoing analysis, it is unclear whether plaintiffs are able to amend to state causes of action based upon an express contract, either for breach of express or implied terms. Because plaintiffs did not assert quasi-contract as a named cause of action, defendants did not address quasi-contract as a potential basis for claim in their demurrer. The court will not address that potential claim in this procedural context, but will leave further discussion to future proceedings as may be appropriate. The court will grant leave to amend as to all causes of action, with such leave including leave to assert causes of action based upon quasi-contract.

Judges

Judge Donna D. Geck

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